IN THE UNITED STATES BANKRUPTCY COURT
FOR THE WESTERN DISTRICT OF MISSOURI

In re:	)	
	)	
BRADLEY JAMES CARLSON	)	Case No. 4:24-bk-40261-CAN
	)	Chapter 7
	)	Honorable Cynthia A. Norton
Debtor.	)	
	)	
ENTERPRISE BANK AND TRUST	)	Adv. Pro. No. 25-04017
Plaintiff,	)	
	)	
v.	)	
	)	
BRADLEY JAMES CARLSON	)	
Defendant.	)	

COMPLAINT TO DETERMINE DISCHARGEABILITY OF DEBT

Enterprise Bank and Trust ("Enterprise"), a creditor and party-in-interest in the above-captioned bankruptcy case, alleges for its Complaint against Bradley James Carlson ("Debtor") as follows:

Plaintiff does not consent to entry of final orders or judgment by the bankruptcy court.

INTRODUCTION

1. On February 29, 2024 (the "Petition Date"), Debtor filed his Voluntary Petition under Chapter 7 of Title 11 of the United States Code [ECF 1].

2. Enterprise's current deadline to file an objection to discharge and/or dischargeability of debts under Sections 523 and 727 is July 31, 2025. The deadline has not passed.

3. This adversary proceeding arises in and is related to the Chapter 7 case. This Court has jurisdiction over this proceeding pursuant to 28 U.S.C. § 157(a) and (b)(1), 28 U.S.C. § 1334(b), and 11 U.S.C. § 523.

4. Venue is proper in this Court pursuant to 28 U.S.C. § 1409.

5. This adversary proceeding is a core proceeding under 28 U.S.C. § 157.

PARTIES

6. Plaintiff Enterprise is a Missouri Trust Company with its main office in the state of Missouri.

7. Debtor is an individual resident of Missouri located at 1722 Madison Avenue, Kansas City, MO 64108.

FACTUAL ALLEGATIONS

I. The Enterprise Loan Documents.

8. Enterprise made multiple loans to entities owned and managed by Debtor including Mulungas II, LLC f/k/a Force Commercial Building, LLC ("Mulungas II"), Mulungas I, LLC f/k/a Mulungas, LLC ("Mulungas I"), Empirical Prime, LLC f/k/a Force Midwest, LLC ("Empirical"), Apex Specialty Vehicles, LLC ("Apex"), MAG Trucks, LLC ("Mag"), and EP Manufacturing, LLC f/k/a Mid Western Automotive, LLC ("EP," are collectively with Mulungas II, Mulungas I, Empirical, Apex, Mag, and EP, the "Borrowers," and each individually are a "Borrower").

9. In connection with these loans, Borrowers executed a Business Loan Agreement, dated December 2, 2019, by and among Mulungas I, Mulungas II, Empirical, Apex, Mag, EP and Enterprise (the "Original Loan Agreement"). The Original Loan Agreement is attached as Exhibit A.

10. The Original Loan Agreement was amended pursuant to a First Amendment to Business Loan Agreement, dated February 11, 2020, a Second Amendment to Business Loan Agreement, dated August 31, 2020, and a Third Amendment to Business Loan

Agreement, dated November 30, 2020 (collectively, the "Loan Agreement Amendments," and together with the Original Loan Agreement, the "Loan Agreement"). The Loan Agreement Amendments are attached as Exhibit B.

11. In connection with the Loan Agreement, Mulungas II executed a Promissory Note, dated April 30, 2019, in the original principal amount of $768,000.00 in favor of Enterprise (as modified, amended and/or restated from time to time, the "First Note"). The First Note is attached as Exhibit C.

12. Borrowers Mulungas I, Mulungas II, Apex, Mag, EP, and Empirical executed a Promissory Note, dated December 2, 2019, in the original principal amount of $2,832,000.00 in favor of Enterprise (the "Fourth Note," and collectively with the First Note, Second Note, and Third Note, the "Notes"). The Fourth Note is attached as Exhibit F.

13. Collectively, the amounts advanced to Borrowers under the Notes are the "Loans."

14. The Notes are secured by various documents and instruments, including: (i) a Security Agreement, dated December 2, 2019, between Mulungas I and Enterprise; (ii) a Security Agreement, dated December 2, 2019, between Mulungas II and Enterprise; (iii) a Security Agreement, dated December 2, 2019, between Empirical and Enterprise; (iv) a Security Agreement, dated December 2, 2019, by and between Apex and Enterprise; (v) a Security Agreement, dated December 2, 2019, by and between Mag and Enterprise; and (vi) a Security Agreement, dated December 2, 2019, by and between EP and Enterprise (collectively, the "Enterprise Security Agreements"). The Enterprise Security Agreements are attached as Exhibit G.

15. The Enterprise Security Agreements granted Enterprise a first lien on all Borrowers' assets including, among other things, vehicles held for sale or lease, other inventory, raw materials, goods, accounts, deposit accounts, instruments, general intangibles, and chattel paper (collectively with all other collateral described in the

Enterprise Security Agreements, the "Collateral"). Liens on the Collateral granted as security under the Enterprise Security Agreement were perfected by the filing of UCC financing statements.

16. Debtor guarantied repayment of the amounts lent to Borrowers pursuant to the Notes by virtue of:

(a) a Commercial Guaranty dated December 20, 2013, attached as Exhibit H, whereby Debtor guarantied the amounts owed by Mulungas, LLC (now known as Mulungas I) to Enterprise (the "Mulungas I Guaranty");

(b) A Commercial Guaranty dated July 10, 2014, attached as Exhibit I, whereby Debtor guarantied the amounts owed by Mulungas, LLC (now known as Mulungas I) to Enterprise (the "Second Mulungas I Guaranty");

(c) a Commercial Guaranty dated June 23, 2015, attached as Exhibit J, whereby Debtor guarantied the amounts owed by Mulungas, LLC (now known as Mulungas I) to Enterprise (the "Third Mulungas I Guaranty");

(d) a Commercial Guaranty dated April 30, 2019, attached as Exhibit K, whereby Debtor guarantied the amounts owed by Force Commercial Building, LLC (now known as Mulungas II) to Enterprise (the "Mulungas II Guaranty");

(e) a Guaranty Agreement dated December 2, 2019, attached as Exhibit L, whereby Debtor guarantied the amounts owed by Empirical, Apex, MAG, Mid Western Automotive, LLC (now known as EP), and Force Commercial Building, LLC to Enterprise (the "Omnibus Guaranty").

17. Collectively, the Mulungas I Guaranty; Second Mulungas I Guaranty, Third Mulungas I Guaranty, Mulungas II Guaranty, and Omnibus Guaranty are the "Guaranties," and the Loan Agreement, Notes, Enterprise Security Agreements, Guaranties and all other documents and agreements relating to the Loans are collectively the "Loan Documents."

18. Pursuant to the Guaranties, Debtor agreed that upon Borrowers' default, he would pay the full amounts owed under the Notes. Exhibit H at p. 1; Exhibit K at p. 1; Exhibit L at ¶ 1.

19. Additionally, Debtor agreed to not take any action which might reasonably be expected to have a material effect on Debtor's financial condition such that Debtor would be unable to perform his obligations under the Guaranty. Exhibit L at ¶ 4(i).

II. Debtor Solicits New Financing from Central Bank.

20. Under the Loan Documents, Borrowers agreed that they would not incur any additional indebtedness or borrow any money without the prior consent of Enterprise, unless it was incurred to trade creditors in the ordinary course of their businesses. Exhibit A at § 8(o).

21. The creation of any lien, security interest, or encumbrance against the Collateral constituted a default under the Loan Agreement, unless otherwise approved by Enterprise. Exhibit A at § 11(i).

III. Debtor Solicits Additional New Financing from Pinnacle Bank.

22. Additionally, as early as December of 2021, Debtor solicited additional financing from other lenders, including but not limited to Pinnacle Bank, N.A. ("Pinnacle").

23. Debtor caused Borrowers to enter into other loans with Pinnacle (collectively, the "Pinnacle Bank Loans") in violation of the Loan Documents including:

(a) Business Loan Agreement dated December 30, 2021 executed by Mag;

(b) Business Loan Agreement dated December 31, 2021 executed by Mag;

(c) Business Loan Agreement dated March 25, 2022 executed by Mag;

(d) Business Loan Agreement dated April 5, 2022 executed by Apex;

(e) Business Loan Agreement dated September 16, 2022 executed by Apex;

(f) Business Loan Agreement dated December 14, 2022 executed by Mag;

(g) Business Loan Agreement dated February 27, 2023 executed by Mag (collectively, the "Pinnacle BLAs").

24. The Pinnacle BLAs are attached as Exhibit N.

25. The amounts advanced to Mag and Apex under the Pinnacle BLAs are evidenced by, among other things, the following promissory notes executed by Debtor on behalf of Borrowers:

(a) Promissory Note executed by Mag dated December 30, 2021 in the original principal amount of $350,256.00;

(b) Promissory Note executed by Mag dated December 31, 2021 in the original principal amount of $110,256.00;

(c) Promissory Note executed by Mag dated March 25, 2022 in the original principal amount of $2,000,000.00;

(d) Promissory Note executed by Apex dated April, 5, 2022 in the original principal amount of $46,219.00;

(e) Promissory Note executed by Apex dated April 5, 2022 in the original principal amount of $38,093.00;

(f) Promissory Note executed by Apex dated April 5, 2022 in the original principal amount of $19,585.00;

(g) Promissory Note executed by Apex dated April 5, 2022 in the original principal amount of $10,375.46;

(h) Promissory Note executed by Apex dated September 16, 2022 in the original principal amount of $116,246.23;

(i) Promissory Note executed by Mag dated December 14, 2022 in the original principal amount of $76,256.00;

(j) Promissory Note executed by Mag dated February 27, 2023 in the original principal amount $79,771.10 (collectively, the "Pinnacle Notes").

26. The Pinnacle Notes are attached as Exhibit O.

27. To secure repayment of the Pinnacle Notes, Debtor caused Apex and Mag to pledge certain collateral to Pinnacle pursuant to certain security agreements including the following:

(a) Commercial Security Agreement dated March 25, 2022 executed by Mag pledging all its vehicle inventory as security;

(b) Commercial Security Agreement dated April 5, 2022 executed by Apex pledging certain of its equipment as security;

(c) Commercial Security Agreement dated April 5, 2022 executed by Apex pledging all its inventory, chattel paper, accounts, equipment and general intangibles as security;

(d) Commercial Security Agreement dated April 5, 2022 executed by Apex pledging certain of its equipment as security;

(e) Commercial Security Agreement dated April 5, 2022 executed by Apex pledging certain of its additional equipment as security;

(f) Commercial Security Agreement dated December 14, 2022 executed by Mag pledging a vehicle as security;

(g) Commercial Security Agreement dated September 16, 2022 executed by Apex pledging certain of its additional equipment as security;

(h) Commercial Security Agreement dated February 27, 2023 executed by Mag pledging a vehicle as security (collectively, the (“Pinnacle Security Agreements”)).

28. The Pinnacle Security Agreements are attached as Exhibit P.

29. The Pinnacle Security Agreements purported to pledge, among other things, Apex’s and Mag’s inventory, equipment, accounts, and general intangibles (the “Pinnacle Collateral”).

30. The Pinnacle Collateral was already pledged as security for repayment of the amounts advanced by Enterprise pursuant to the Enterprise Security Agreements.

31. Each of the Pinnacle Security Agreements cross-collateralized all obligations and liabilities of Mag and Apex to Pinnacle, so that all Pinnacle Collateral listed in each Pinnacle Security Agreements secured all amounts owed by Apex and Mag to Pinnacle.

32. Debtor also agreed to personally guaranty the debts owed to Pinnacle pursuant to an unlimited guaranty dated on or around December 30, 2021.

33. Neither Debtor nor anyone else associated with Borrowers informed Enterprise that Borrowers were seeking new financing from Pinnacle, or that they would be granting liens on Enterprise's Collateral to secure repayment of this new financing.

COUNT XI – OBTAINING A RENEWAL OR REFINANCE OF CREDIT THROUGH THE USE OF FALSE PRETENSES, FALSE REPRESENTATIONS OR FRAUD UNDER 11 U.S.C. § 523(A)(2)(A) BY INDUCING ENTERPRISE TO FORBEAR FROM EXERCISING ITS RIGHTS UNDER THE LOAN DOCUMENTS

34. Enterprise incorporates its allegations above as if fully set forth below.

35. On March 30, 2023, Borrowers entered into the Forbearance Agreement in which they acknowledged their defaults pursuant to the maturity of the Notes, and Enterprise agreed to forbear on Borrowers' defaults until May 31, 2023.

36. Pursuant to the Forbearance Agreement, all of Borrowers' and Debtor's obligations under the Loan Documents continued with full force and effect. Forbearance Agreement at § 9(a).

37. Other than the maturity of the Notes, and pursuant to their continued reporting requirements and representations and warranties under the Loan Documents, Borrowers and Debtor represented that there were no further defaults under the Loan Documents as of the date of the Forbearance Agreement.

38. These representations were false because, among other defaults, Borrowers had entered into the Central Bank Loans and Pinnacle Bank Loans, had submitted false financial reports to Enterprise, and had concealed Debtor's tax liabilities.

39. Debtor made these false representations to induce Enterprise to enter into the Forbearance Agreement and to case Enterprise to forbear from exercising its rights and remedies pursuant to the maturities of the Notes.

40. Enterprise was justified in relying on Borrowers' and Debtor's representations because, among other things, Debtor and Borrowers agreed to provide Enterprise accurate information in connection with the Forbearance Agreement.

41. Enterprise was damaged and suffered loss resulting from Debtor and Borrowers' misrepresentations because it would not have agreed to enter into the Forbearance Agreement if it had known of Debtor and Borrowers' defaults and would have instead enforced its remedies under the Loan Documents.

PRAYER FOR RELIEF

WHEREFORE, Enterprise prays that the Court enter a judgement against Debtor as following:

(a) Exempting Enterprise's claims against Debtor from the discharge of debts under 11 U.S.C. §§ 523(a)(2)(A) and 523(a)(2)(B);

(b) For Enterprise's costs and fees in this matter;

(c) For such other and further relief as the Court deems just and proper.

Dated: July 31, 2025

Respectfully submitted,

BRYAN CAVE LEIGHTON PAISNER LLP

By: /s/ William J. Easley
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CERTIFICATE OF SERVICE

I certify that on July 31, 2025, filed with the Clerk of the Bankruptcy Court by using the CM/ECF system, which sent notification of the electronic filing to all parties of interest that have registered in this case.

/s/ William J. Easley
William J. Easley